

To: Srinivas Katikithala, Secretary, Ministry of Housing and Urban Affairs, Govt. of India

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Subject: Urban Regeneration Projects Should Have More Local Relevance

Summary:

Smart city interventions are not equitable, benefiting only a small percentage of the population. There's a skew towards urban mobility and ICT projects, neglecting essential needs like affordable housing and healthcare. The SCM framework promotes technocratic divides and relies heavily on external consultants. There's a lack of local context in planning processes, with solutions often based on Western models. Citizen participation in planning is limited and often inaccessible to informal workers.

Recommendations include strengthening citizen involvement guidelines and ensure representative sampling in pre-project surveys. Improve accountability and transparency of Special Purpose Vehicles involved in urban projects. Review and rate private consultants' projects based on various criteria. Encourage participation of local experts in urban development projects. Establish an open platform for small-scale, locally-driven smart city experiments.

Background:

The Ministry of Housing and Urban Affairs laid out over USD 19.5 billion under the "Smart City Mission (SCM)" in an effort at urban development via area-based development (ABD) plans, and smarter infrastructure (using information and communication technology applications to digital interconnect public services). Despite massive expenses undertaken under various programs, projects are falling short of making a difference at the local level.

The requirement of high technical expertise and on-ground presence, over the already massive workloads, necessitate the deployment of private agencies as consulting partners for these projects. Generally acceptable solutions, with a one-size-fits-all approach is deployed with only marginal modifications, without addressing the underlying local issues at their root.

There has been research that smart city interventions are not equitable (Nugent & Suhail, 2021). Decision making is centered around experienced urban planners and officers of the government arm that is financing the project(s). Smart solutions are decided as viable and desirable solution to transform cities and the built environment, but the same decision-making processes of yore instead sustain the inherited hierarchy at the root of urban crises.

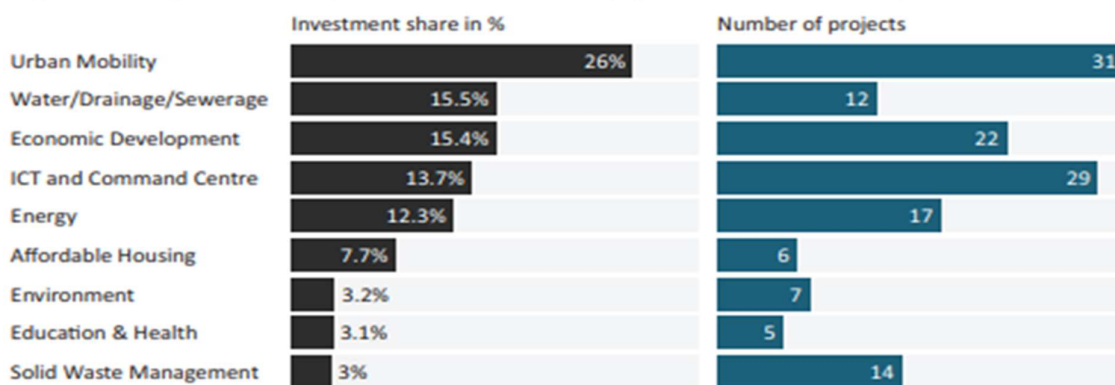
Smart City interventions don't benefit *everyone*:

Research on the inclusivity of these urban development projects suggests that in the 100 selected cities under the SCM, 81% of the investments will impact 1 out of 10 people. In the

larger cities, 3 out of 100 people on average will be benefitted from ABD projects (Praharaj, 2021). These projects benefit small pockets of the city – increasing the possibility that they further skew the urban divide – instead of bridging it.

An intra-urban divide is furthered, as the populations who most require transformatory urban renewal projects, go unserved. Out of 143 projects in 33 cities from the first two phases of the smart city mission, 77 projects focused on urban mobility, ICT and digital infrastructure. In contrast, only 18 projects focused on affordable housing, education and health and environment (Praharaj, 2021) as can be seen in Figure 1. The skew on project expenditure is likewise, against the essential requirements of urban populations – like housing and healthcare.

Figure 1: Projects and Expenditure under SCM, spread across development verticals



Source: Area-Based Urban Renewal Approach for Smart Cities Development in India: Challenges of Inclusion and Sustainability. *Urban Planning*, 6(4), 202–215. <https://doi.org/10.17645/up.v6i4.4484>

The Smart City Mission plan overestimates the capacity for smartly urbanizing cityscapes given the Indian context. Indian cities are often a boiling pot of business activity and everyday lives of the richest individual but also simultaneously the largest slum community. The proposed residential density of 175 people per hectare – requires 57 sq. kms in residential areas and 100 sq. kms in total town areas. With land acquisition norms varying from city to city and the political no-do of using agricultural land for city expansion, this proposed density either requires the exclusion of populations from the model city, or removes the participatory and inclusivity principles the smart city design framework stipulates (Roy, 2016).

The Smart City framework promotes technocratic divides

Herculean urbanization projects are carried out by program management units (PMUs) delegated under the operational and financial might of the Ministry of Housing and Urban Affairs. The frameworks require the formulation of special purpose vehicles consisting of representation of central (federal) agencies and externally hired PMUs. These SPVs are not statutory bodies, and hence directly unaccountable to deliver good governance.

An informal appliances and parts vendor takes an afternoon siesta in his small shop in Kandivali. No consultant asks for his opinion when designing "dynamic footpaths"



Figure 2: Photograph, Credit Vashishth Doshi, 2023

For the purposes of 'efficiency', 'innovation' and 'competitiveness', considerable private participation has occurred. Within the Government of India, 44 departments alone incurred an annual expenditure of USD 36 million as compensation to 1,499 consultants from external firms, including the *Big Four*.

Smart City promoters (in this case, consulting firms), cite knowledge resources that suggest such development uplifts *all* stakeholders. However, these knowledge resources are based with focus overwhelmingly on the parameters, processes and practices of the 'Global North' (Paharaj et al., 2018). In major parts of the 'Global South', essential public services are lagging and inequality still persists. That reality is ruefully not appreciated, while suggesting development methods which may have worked worldwide (Söderström et al., 2014).

Proprietary technologies developed by the world's biggest private corporations exist to ensure monopoly in potential markets, with secondary focus on public service delivery. IBM has historically sold a product called "Intelligent Operations Centre", which originally monitored the Rio de Janeiro's core utility services in real-time, modifiable to any city's needs (Marvin, Luque 2013). It is notable then, how the maximum of expenditure under SCM has taken place in the digital governance vertical (Figure 1). (Kitchin, 2014) and (Roy, 2016) suggest technological solutions alone are not capable of addressing deep-rooted structural malaise inextricably linked to their social dynamics.

The disregard of the city as a socio-political phenomenon is evidenced in the pointed approach to manage and sustain city functionality via ubiquitous technological solutions. Indian cities, shaped in heterogeneity across culture, politics, policy and physical landscape, can undertake limited governance if focus lies only on upgrading technology (Roy, 2016). Like Söderström et al suggest, what works in the "Global North", doesn't account for urban crises which manifest in unequal access to opportunity – stemming from skewed power relations biased towards urban elites.

The concept of smart-cities as enclaves for the neo-rich, developed by big corporates, as a destination for skilled professionals in a knowledge economy – will propagate existing socio-economic cleavages. The non-reference and inclusion of the urban informal workforce as a participant in the city is concerning, at the very least.

A lack of local context in planning processes

The modelling of SCM on western cities as well as the framework of inclusion of international consulting firms speak of the lack of localization in the planning process. The

contrast in socio-political contexts, as well as institutional capacities is disregarded. Practitioners in urban development often disregard hyper-local requirements and deploy solutions from their knowledge base with the minimally required modifications. They are naturally insensitive to culturally driven local area development – as they are businesses at the end of the day, and the city may just be one client. The scores of high-rise buildings with glass facades, employing internationally renowned architects, have come up in regions where average summer temperatures are 40 degree C. This requires cooling around the clock contributing to a marked 4 degree change in such areas (heat islands).

SCM guidelines require cities to have open forums to include citizen opinions. Cities do hold such fora – often over digital forms, but the information gathered and steps taken for addressal of citizen comments are not often not accessible anywhere. This precludes the inclusion of informal working masses in surveys and their interests are not represented.

Resource-persons for local area project sites in Ahmedabad, studied by urban design students in the best schools of India, have several years of international experience in urban transformation but no Indian experience. During final presentations, the same students are often chastised by jurors who sometimes are government officials with years of local urban planning under them – for feasibility and scope of suggested ‘ideal’ intervention in local contexts. This exemplifies the detachment of the decision makers and experts with local ethos and underlines the skewed information exchange in the ecosystem.

Recommendations

Citizen Involvement:

Guidelines of citizen participation must be strengthen to *also* include periodic checks on accommodation by urban agencies to incorporate solutions to address the comments of citizens. Guidelines must be expanded to necessitate that pre-project surveying samples are proportionately representative of the affected population. The blueprints for this could be National Family Health Survey’s standard framework as it addresses these representation issues in a statistically sound manner. Redressal frameworks should be established for groups of projects and access to these, as well as all local-discussion fora should be open and equal – instead of only online or by invite.

Statutory clarity:

Special Purpose Vehicles are extensions of government arms that function as independent entities with private members. Regulatory frameworks need to be modified in the Housing and Urban Affairs sector to expand accountability requirements and information disclosure necessities to all such extensions of the government functioning in the urban realm. The beginning of this could be via ministry memos to departments, before the formal modification of guidelines.

Private consultant’s delivered projects should be reviewed periodically in several contexts. This may include historical work, cost-effectiveness, long-term impact analysis, local opinion and sensitivity to human centric development. They can be indexed against performance standards and rated accordingly by central agencies. Guidelines to restrict the same

consulting firm to participate in accounting tenders related to their projects, based on international standards should be explored.

Rationalized tender requirements that allow the participation of local and home-grown experts under special cases will go a long way in inculcating an India centric development model, and also improve the public discourse on urban development.

Building up local experiments:

As a solution to hyper-local requirements, an open platform must be established uniting public agencies, private parties, knowledge institutes and self-builders (locally involved citizens)(Lee et al., 2023). ON an experimental basis, smart ideas developed by locally affected citizens must be matched with potential implementation partners. The small-scale DIY projects should require locally deployable solutions that can survive the test of time. Such piecemeal transformation at the hyper local level – simultaneously across the required geographies – will a) incorporate local participation as part of regular citizen life and b) improve best practices as a result of so many simultaneous trail and error experiments. Even if these solutions are privately funded, the knowledge resource that is created over a few years will benefit the Indian context greatly.

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